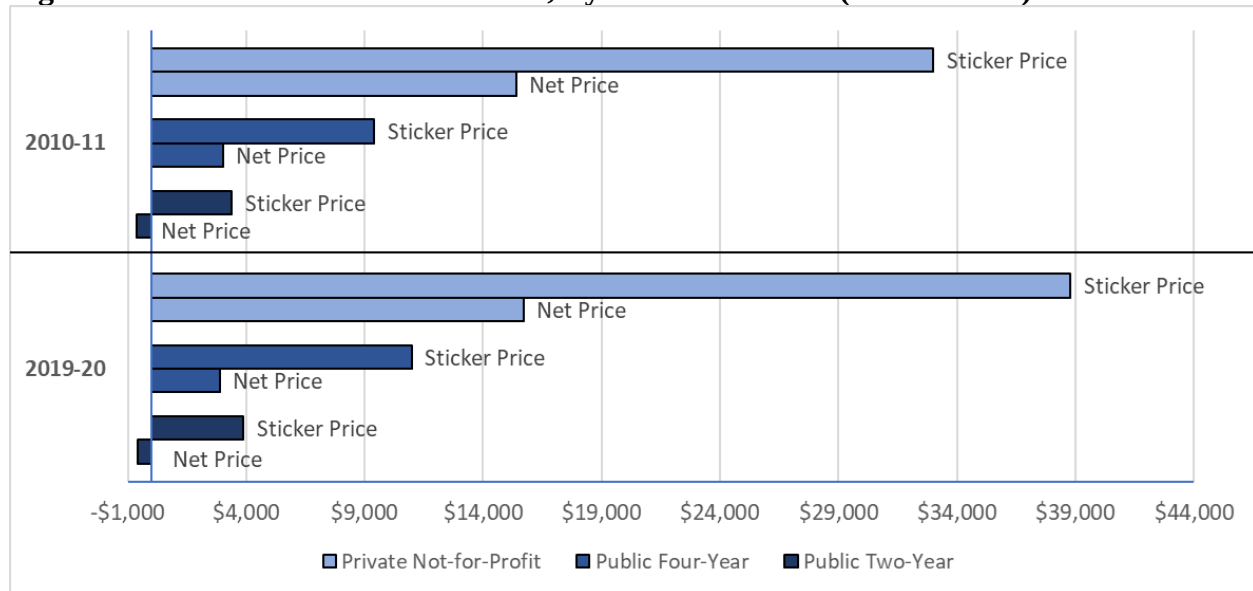


Since 2010, the shift has reversed such that in recent years, considering both appropriations and state grants, states and localities provide nearly the same magnitude of support for undergraduates as does the federal government. Grants provided by institutions and other private sources have also increased substantially in the past decade, while reliance on federal student loans has declined by more than a third.

Figure 1 further illustrates how trends in financial aid relate to trends in tuition pricing over the most recent 15-year period, using data from the College Board (2021). Published tuition and fees (“sticker prices”) have increased substantially in real terms (beyond the rate of inflation) since 2006, ranging from a 25 percent increase in the public two-year sector to a 39 percent increase in the public four-year sector.

Yet *net* tuition and fees, measured as the difference between published tuition and fees and average grant aid per student, are relatively stable in recent years.⁴ This illustrates the increasingly central role of financial aid, but also foreshadows the complexity students and families face in trying to predict what their *individual* cost of college will be.

Figure 2. Sticker Price versus Net Price, By Sector and Year (2021 Dollars)



Source: Authors’ tabulations of data from Ma and Pender (2021). Sticker price is published tuition and fees, while net price removes grant aid. Public sector tuition and fees are for in-state / in-district students.

2.2. Economic justification for government intervention

Government intervention in higher education finance can be justified on efficiency grounds, as we discuss in this section. Higher education markets are inherently vulnerable to market failures that lead students to underinvest in college (Barr, 2004). These market imperfections mean that, in the

⁴ Importantly, tuition and fees are only one component of the cost of attendance. Housing, food, books, transportation, and other expenses also factor into students’ total cost of attendance, and the College Board’s data show that increases in grant aid have not been sufficient to offset increases in these overall costs since 2006, except at public two-year institutions.